SIMILARWEB LTD SMWB

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by BrotherCostanza

			2026	2027
Price:	6.95	EPS	0	0
Shares Out. (in M):	87	P/E	0	0
Market Cap (in $M):	607	P/FCF	0	0
Net Debt (in $M):	-65	EBIT	0	0
TEV (in $M):	541	TEV/EBIT	0	0

Description

Similarweb has been written up as a long twice before on VIC; I would encourage you to review those write-ups for additional background on the business. This write-up attempts to bridge us to the present and frame the current opportunity with AI that, in my view, increases the value of their data asset.

At a high level, Similarweb collects proprietary first-party data that it leverages to provide customer and competitive intelligence, helping customers assess changes in market share and user data and improve their marketing functions through better SEO.

There is a narrative that because of LLMs and AI agents, SEO is going away and that Similarweb will be disrupted in kind. My view is that LLMs and agents will strengthen their core businesses, and SMWB has a unique opportunity to monetize its data for LLMs and other enterprise players seeking to have the best models. While SMWB's medium-sized customers generate an average contract value of ~$130k and large customers have ~$380k in ACV, their data monetization clients are signing 7-figure+ multi-year contracts.

Last month, Similarweb announced a $47mm data deal across two clients (~$8mm/client/year for 3 years) and noted that they have a strong pipeline with more of these large deals expected going forward. Off of a base of $290mm in revenue, this one deal adds ~500bps of revenue growth for the year. Using the low end of their prior guidance range, which assumed they didn't execute any AI deals, their core business was expected to grow 8.6%. In my view, this deal derisks a low double-digit growth rate for the year and represents an opportunity to re-accelerate growth meaningfully for the business. Similarweb had previously noted that once they hit a revenue level between $400-$500mm, they would expect to generate a 30% FCF margin, which would translate into a ~25% FCF yield on an enterprise value basis. A now-derisked low-double-digit growth rate would take them there in 3 years. If SMWB were to instead trade at a 5% FCF yield at that point in time, the share price would be nearly 5x higher than where it is currently trading. The sellside has yet to raise its estimates reflecting this large deal, and as it and others potentially flow through, their numbers will have to be taken up, and KPI's like NRR, which have recently been stagnant, will increase.

The last few years for Similarweb

Similarweb was an unprofitable 2021-vintage IPO that was punished as interest rates rose and valuations normalized, with the stock falling ~80% from its $22 IPO price to under $5 per share in 2022. The 2022 question for Similarweb and other unprofitable software players was largely whether they could generate real bottom-line profit. Similarweb recognized the times had changed, and after refocusing on profitable growth, expanded its operating margin from -33% to 7% in 3Q 2024 while growing revenue 18%, and the shares re-rated to $18, near their original IPO price.

At this point in 2024, the focus shifted to the timeline for achieving the rule of 40, and management laid out a grandiose AI opportunity on their Q3 call, noting that they had multiple large technology customers using Similarweb's data to train their LLMs, each of which had reached 8 figures in overall spend.

They additionally noted that as search was shifting away from keywords to LLMs, blind spots were popping up for traditional SEO-reliant businesses, which were seeing less visibility into where their traffic was coming from, giving them an opportunity to roll out a product in this vertical (more on this later).

On their Q4 2024 call, they unexpectedly announced large investments in GTM headcount and R&D to roll out new AI products and pursue the AI opportunity for the business, essentially choosing to operate the business at breakeven in a year when the investment community expected more progress towards Rule of 40 status. Consequently, delayed profitability and a weak guide for the following quarter culminated in a 30% intraday sell-off in the share price:

Reports Q4:

- Revenue $65.6M vs FactSet $65.5M [*8 est, $65-66M*]
- Non-GAAP EPS $0.03 vs FactSet $0.04 [*8 est, $0.02-0.07*]

Q1 Guidance:

- Non-GAAP Operating income ($1.5M)-($1.0M) vs FactSet $4.0M [*8 est, $1.3-5M*]
- Revenue $66.0-66.5M vs FactSet $67.3M [*8 est, $65.8-68.3M*]

FY Guidance (Dec 2025):

- Non-GAAP Operating income $1.0-4.0M vs FactSet $22.7M [*8 est, $13.8-29.0M*]
- Revenue $285.0-288.0M vs FactSet $286.1M [*8 est, $276.8-292.6M*]

2025 became a back-end-loaded year with expected revenue acceleration as salespeople were more fully ramped in H2, as well as hoped-for AI deals. Management attributed a Q3 beat to a small one-time revenue item from initial trials for these big data deals and noted they expected to close several of these by year-end.

Unfortunately, on their Q4 2025 call, none of these had materialized despite spending $20mm+ on AI-related investments and headcount for the year. This bad quarter in the middle of the SaaSpocalypse led to the share price sliding all the way to $2.

In speaking with management, what ultimately happened was that salespeople who normally closed medium deals around $100k and enterprise deals around $400k had the opportunity to earn commissions on $1mm+ deals, which led to an overemphasis on those while neglecting their smaller ACV core pipeline. This was compounded by selling to a different customer profile (PhD AI researchers) than they were used to selling to (marketing people).

Management realigned their GTM team with a separate AI-focused group that could speak the language of the PhDs they were selling to without neglecting their core customer pipelines, and has since closed the previously mentioned $47mm data deal.

Although the timeline has proven longer than originally expected, management has executed and now has the right GTM approach for this new customer base and has demonstrated its ability to win. In addition, they have refreshed their C-suite with professionals, including a new CRO from Nielsen and a new CFO with prior public company experience (their prior CFO had been with them since they were a startup), which should lead to smoother execution going forward.

The business has also become much higher quality and more predictable over time. Similarweb now receives 64% of ARR from enterprise customers, up from 47% in 2020, and has 64% of its ARR under multi-year contracts, up from just 30% a few years ago.

The Data Opportunity with Agents:

It has been widely reported that companies are blowing through their AI budgets and overspending on tokens. One mitigant to this is to have better agents powered by better data. The first time you tell an agent to do a task for you, say logging a call in your CRM as a simple example, it first has to figure out what you are asking for, navigate to the webpage, find the button to create the note, etc. It essentially operates like an untrained intern who takes a long time to complete a basic task, often through trial and error. This wastes a lot of tokens. Especially if these are all treated as one-offs and not saved as skills. As they learn, they get smarter, operate more efficiently, and use fewer tokens per task.

If that data only needs to be plugged in to train the “intern” once, it isn’t that valuable. But if it is constantly changing (e.g., fraud data, web traffic data) and proprietary (cannot be scraped for free), that hot data is more valuable.

Similarweb has 10+ years of proprietary first-party data across web, app, and retail intelligence (online shopping behavior) spanning 190 countries. Knowing exactly how customers behave online or in-app across their shopping journey for you and your competitors, and what these digital workflows entail, can help provide better agentic shopping experiences in the future and train smarter agents. It's also important that the LLMs have accurate, regularly updated information. It has to distinguish credibility between a Reddit community with 1k people and one with 1 million, and determine which online conversations are accurate. Collectively, this makes Similarweb’s proprietary dataset valuable.

Similarweb has noted that they are in talks with all frontier model companies about data deals, as well as with large enterprises that leverage their data for market intelligence. Although these deals have been slow to convert in the past, with a better go-to-market approach, even a small number of these closing per year can have a substantial effect on their growth rate, given how large they are, and accelerate the timeline to hitting long-term target margins.

AI LLM Search and SEO

The shift from keyword search to AI summaries has created a blind spot for SEO-dependent companies. For example, if Hilton used to target the word 'hotel' and now people ask ChatGPT for the best hotels in that area, they don't know what marketing programs are/are not driving traffic, or how to improve them to drive additional demand. SMWB launched a GenAI product that reverse-engineers the prompts driving traffic, creating an upsell opportunity as customers adapt their marketing strategies.

Traditional SEO isn’t going away either. GenAI search summaries rely on similar signals that make a page rank well. If a webpage is not showing up highly in search rankings due to poor structure or limited citations and references, it is unlikely to be the first referenced by an LLM. This means that, rather than LLM search eroding keyword search tools, customers will need both, making the GenAI intelligence product an add-on tool that does not cannibalize their existing revenue base.

In speaking with the management team of an OTA (online travel agency), a traditionally big SEO spender, they noted that LLM search just increases the competition for rankings and will make paid SEO channels even more expensive than in the past. This will make having the right tools to optimize this marketing spend that much more critical. Moreover, in speaking with the management team of Riskified, agentic commerce, in which a person entrusts their credit card details to an LLM to buy things on their behalf, is still a ways off. For security reasons, I think it will be a long time before anyone foregoes clicking links on websites altogether, and whenever that happens, those agents will need Similarweb data to complete those tasks more efficiently.

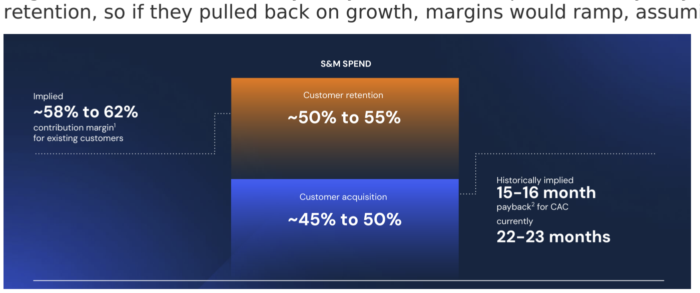
Valuation

The low end of SMWB’s revenue guidance implied 8.6% growth for the year and didn’t bake in big-data 7-figure data deals. Assuming this non-data deal revenue accelerates to 10% growth due to better core sales execution (not neglecting core pipeline) and ramping AI products (Which grew from 3.7% of revenue in 2024 to 11% in 2025), assuming no further data deals are signed and assuming the current one does not renew (The previous deals have renewed, upsold, and become multi year contracts thus far), they would still hit the necessary revenue levels by 2029 to reach target margins:

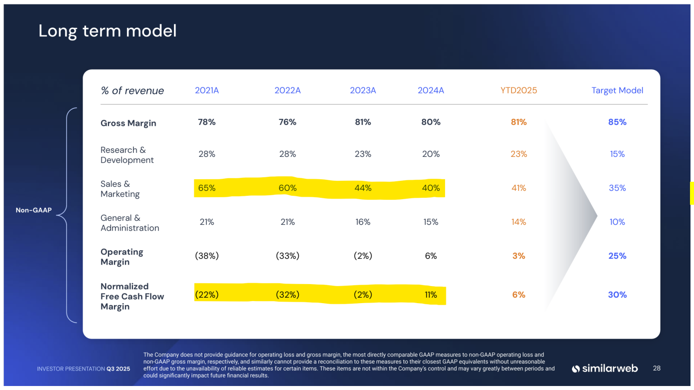
	Dec '23	Dec '24	Dec '25	Dec '26E	Dec '27E	Dec '28E	Dec '29E	
Reported Revenue	218.0	249.9	282.6	307.0	337.7	371.5	408.6	
% Growth		14.6%	13.1%	8.6%	10.0%	10.0%	10.0%	
AI Deal				15.7	15.7	15.7		
Growth Contribution %				5.5%				
Total Revenue	**218.0**	**249.9**	**282.6**	**322.7**	**353.4**	**387.1**	**408.6**	CAGR '25-'29
		14.6%	13.1%	14.2%	9.5%	9.6%	5.5%	9.7%

The one deal they signed this year added >5% to their revenue growth on a run rate basis. If they can find one or two of these a year, double-digit growth could persist or accelerate, and they could hit the mid- to high-end of that $400-$500mm range.

Why will the margin drop through at those levels? After making a big Opex investment last year and not getting the expected ROI on it, management understands they will have to show margin improvement, especially at lower growth levels, and will be reticent to make new large investments. Additionally, they outlined in the past that they only allocate approximately half of their S&M spend towards customer retention, so if they pulled back on growth, margins would ramp, assuming this relationship holds:



This lever did the heavy lifting in their last push for profitability, with operating leverage on S&M spend driving 2/3s of the improvement in FCF margin:



% of revenue	2021A	2022A	2023A	2024A	YTD2025	Target Model
Gross Margin	**78%**	**76%**	**81%**	**80%**	**81%**	**85%**
Research & Development	28%	28%	23%	20%	23%	15%
Sales & Marketing	65%	60%	44%	40%	41%	35%
General & Administration	21%	21%	16%	15%	14%	10%
Operating Margin	(38%)	(33%)	(2%)	6%	**3%**	**25%**
Normalized Free Cash Flow Margin	(22%)	(32%)	(2%)	11%	**6%**	**30%**

At $400mm in revenue, modeling no further large data deals and assuming a 30% FCF margin, SMWB would generate $120mm in FCF against a $527mm EV today. If they traded with a 10% FCF yield as a mature, slow-growth software company (like Salesforce), SMWB would be worth $14.50/share (+109% upside). If, however, these data deals prove more durable and they sustain a low double-digit growth rate, I think there is upside to that multiple. At a sustained low-double-digit growth rate, they could generate $450mm in revenue and $135mm in FCF in 2029. Being valued as a data company benefiting from AI, at a 5% FCF yield, they would be worth $32/share, 4.6x higher than the current share price.

One additional twist is that on the last earnings call, SWMB's Founder/CEO stated his intention to retire in the next 12 months after spending 20 years leading the company and announced that they would begin a CEO search. Considering the founder is on his way out, with numbers likely to accelerate from data deals, it seems like an interesting takeout candidate for a strategic buyer looking to acquire their data asset. Last fall, their peer, Semrush, which is much more skewed towards SMBs than SMWB and lacks the same high-quality data asset, was acquired by Adobe at 3x revenue, whereas SMWB trades at 1.85x forward consensus revenue (before including the new data deal). Considering their valuable data asset, accelerating margins and growth, and the founder's desire to retire, it seems like an interesting time to monetize the business.

Risks:

-Contract renewals: A big risk with the initial AI data training contracts SMWB was announcing was whether or not they would just be one-time revenue. So far, the precedents have renewed and upsold, given the demand for current, up-to-date data, it seems likely this could continue:

"Last year, in Q2, we signed a seven-
figure ARR contract with one of our big tech customers to use our data to train and improve its LLLM. In June this year, this customer renewed and exte
and LLM data with a multi-million-dollar ARR and a multi-year upselling." – Q2 2025 Earnings call, SMWB Founder/CEO Or Offer

-CEO retiring: Although Or Offer is retiring in 12 months, it does not look like it is for a lack of enthusiasm in the business; he recently bought ~$300k in stock this year, in addition to 3 other directors purchasing shares for ~$1mm in insider buys in aggregate.

Dilution: The share count has increased by ~3%/year since IPO; however, they haven't granted any share options since IPO (~2mm shares of dilution last year), and as the remaining 3.2mm options roll off, dilution from this IPO program will moderate. The bigger driver is RSUs, which result in ~2.5mm shares of net issuance annually (~2.8% dilution). Although this remains higher than desired, I think if the share price remains here, SMWB will implement a buyback program and offset this; however, even inclusive of the dilution, the opportunity is compelling. E.g., if the share count increases by 3%/yr for 4 years (~98mm shares) and they generate $120mm in FCF ($1.22/share) at a 15x multiple, you would still end up with a >$18 stock.

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Catalyst

- SMWB updates guidance to reflect the new deal and sellside takes numbers up
- More ai data deal announcements drive growth reacceleration

Messages

No messages